

THE SAFETY NET: Understanding Insurance

Planrs Academy Master Series | Grade 6 Financial Literacy

1. What is Insurance?

Insurance is a financial arrangement designed to act as a **safety net** that protects individuals and families from major unexpected financial losses. Just like a circus safety net catches performers if they slip, insurance catches families financially when unexpected events happen.

The Shared Umbrella Concept

Imagine everyone in a housing colony contributes ₹10 to purchase a single, large communal umbrella. When an unexpected storm arrives, anyone who needs shelter can use it. Insurance operates on this exact principle: many people pool small amounts of money together so that anyone facing trouble is protected.

2. Essential Insurance Terminology

Term	Definition	Real-World Analogy
Premium	A small, regular payment (monthly or yearly) made to keep your insurance policy active.	Paying ₹100 every month to maintain your safety net subscription.
Policy	The legal contract or official agreement between you and the insurance company detailing the coverage.	Your official "Safety Net Agreement" document.
Claim	A formal request made by the policyholder to the insurance company asking for payment when a covered event occurs.	Asking the umbrella pool for help when it starts raining.
Coverage Limit	The maximum total amount of money the insurance company will pay for a losses covered under the policy.	The total maximum size of the protective umbrella.

3. The Three Key Shields of Protection

Shield 1: Life Insurance

The Family Protector

Provides financial security to a family if the primary earning

Shield 2: Health Insurance

The Hospital Helper

Helps pay for expensive medical bills, surgeries, and

Shield 3: Vehicle Insurance

The Road Guardian

Covers repair costs for cars, scooters, or motorcycles after

member passes away. It ensures funds are available for:

- School & college fees
- Daily food & household expenses
- Home loan repayments

Indian Context: LIC (Life Insurance Corporation) policies are widely trusted across millions of households.

hospital stays when a family member falls sick or gets injured.

Popular Examples in India:

- **Star Health:** A well-known private insurance provider.
- **Ayushman Bharat:** A major government scheme helping millions of families access healthcare.

road accidents, theft, or damage.

Key Legal Fact:

In India, **Third-Party Vehicle Insurance** is mandatory by law for all two-wheelers and four-wheelers driving on public roads.

4. Case Study Scenario

The Sharma Family's Bumpy Road

Situation: While driving home, another vehicle bumped into the Sharma family's car, causing a significant dent and structural damage.

Insurance Action: Because Mr. Sharma had paid his regular premiums for vehicle insurance, the insurance provider covered the expensive repair bills at the mechanic shop.

Outcome: The family's hard-earned savings remained untouched and safe from an unexpected expense.

5. Lesson Summary & Key Takeaways

- ✓ **Insurance:** A collective financial safety net protecting families against severe financial loss.
- ✓ **Premium vs. Policy:** A premium is the regular fee paid; a policy is the contract document.
- ✓ **The Three Core Shields:** Life Insurance (family stability), Health Insurance (medical bills), and Vehicle Insurance (road repairs).

STUDENT WORKSHEET & PRACTICE EXERCISES

Topic: Financial Literacy — The Safety Net of Insurance | Grade 6

Part A: Interactive Learning Activities

Activity 1: Concept Matching

Match each financial term in Column A with its correct description in Column B by drawing a connecting line:

Column A (Term)	Column B (Description)
1. Premium	A. Official contract from an insurance company outlining terms.
2. Health Insurance	B. Mandatory Indian legal requirement for all road vehicles.
3. Policy	C. Regular payment made to maintain financial protection.
4. Third-Party Coverage	D. Protection against expensive medical treatment and hospital bills.

Activity 2: Short Answer Analysis

Question: Why is insurance often described as a "Shared Umbrella"? Explain in your own words how pooling money helps individuals in a community during emergencies.

Activity 3: Scenario Identification

Read each situation below and identify which of the 3 Shields (Life, Health, or Vehicle Insurance) applies:

- An ancient banyan tree branch falls and breaks the windshield of Mr. Verma's parked scooter.
Shield Required: _____
- Priya's grandmother requires urgent cardiac treatment and a 3-day stay at the city hospital.
Shield Required: _____
- A family receives financial support to pay ongoing school tuition fees after their breadwinner unexpectedly passes away.
Shield Required: _____

Part B: Practice Questions for Assessment

Instructions: Read each question carefully and select or write the best answer. (Do not write answers on this master question page).

Q1. Which type of insurance helps your family cover basic living expenses and school fees if the primary earner passes away?

(A) Vehicle Insurance (B) Life Insurance (C) Health Insurance (D) Travel Insurance

Q2. What is the regular fee paid by a policyholder to keep their insurance protection active called?

(A) Claim (B) Deductible (C) Premium (D) Policy

Q3. Which insurance shield covers repair expenses for cars or scooters after a road accident?

(A) Health Insurance (B) Vehicle Insurance (C) Life Insurance (D) Homeowners Insurance

Q4. In India, which type of insurance is legally mandatory for operating any motor vehicle on public roads?

(A) Personal Accident Cover (B) Third-Party Vehicle Insurance (C) Comprehensive Life Cover (D) Health Floater Policy

Q5. Ayushman Bharat is an example of which type of insurance scheme in India?

(A) Private Vehicle Insurance (B) Government Health Insurance (C) Corporate Life Insurance (D) Commercial Property Insurance

Q6. Critical Thinking: Explain why paying a small monthly premium is better than paying for a major emergency out of savings.